

DSCR MULTI & MIXED (5-10 Units MULTI or 2-8 Units MIXED)

Investment Property (Business Purpose)					
Min Credit Score	Max Loan Amount	Max LTV Purchase	Max LTV R/T Refinance	Max LTV Cash-Out Refinance	Property Type
>=1.00 DSCR					
720+	1,500,000	75	75	70	Residential 5-10 Units and Mixed Use 2-8 Units
	2,000,000	75	70	65	
	2,500,000	70	70	65	
	3,000,000	70	70	65	
Housing History		Housing Event Seasoning			
0x30x24		• BK/FC/SS/DIL/Mod: 24 Months			
Geographic Restrictions					
- FL: Foreign Nationals and Non-Permanent Resident Aliens from the Republic of China are ineligible. - HI: Wholesale – Ineligible, Correspondents - Eligible - MD: - All Row Homes located in Baltimore City are ineligible. - NY: - No 5/6 ARMs on OO loans below the FNMA loan limit. - See NY Subprime section for requirements. - Mixed Use and Multi Housing Product ineligible in Orange Couty.					
General Requirements					
Product Type	30-Yr Fixed, 15-Yr Fixed 40 Yr Fixed I/O (10 year I/O period, and remaining term fully amortizing) 30 Yr Fixed I/O (10 year I/O period, and remaining term fully amortizing) 5/6 and 7/6 SOFR ARMs, 30 Yr Term – Fully Amortizing •				
Interest Only	- Min Credit Score: 660 - Max LTV: 75%				
Loan Amount	- Min: \$250,000 and Max \$3,000,000 - Loan sizes under \$400,000 require a 5% reduction to LTV				
Occupancy	• Investment Properties (Business Purpose)				
Loan Purpose	• Purchase, Rate/Term, and Cash Out				
2-1 Temporary Buydown	• Not permitted.				
Cash-Out	Max cash-out: \$1,000,000				
Investor Experience	- No First Time Investors for 2-8 units - Mixed Use. Borrower must have a history of owning and managing commercial or residential real estate for at least 1 year in the last 3 years - First Time Investors are permitted on 5-10 Unit Residential properties with a 0x30x24 housing history or when the primary is owned free and clear				
FTHB	• Considered, See Guidelines				
Max Number of Financed Properties	• No Max				
Borrower Eligibility	- U.S. Citizens - Permanent Resident Aliens	- Non-Permanent Resident Aliens (See Geographic Restrictions above) - Foreign Nationals (See below) •			
Foreign National	- Min DSCR >= 1.00 - Foreign Credit is permitted. - Reserves: 12 months PITIA	LTV requirements: <= \$2.0M = Purch & R/T: 70% LTV or Cash-Out: 65% LTV > \$2.0M - \$2.5M = Purch & R/T: 65% LTV or Cash-Out: 60% LTV > \$2.5M - \$3.0M = Purch & R/T: 60% LTV or Cash-Out: 55% LTV			

Property Type	- Residential 5-10 Units - Mixed Use 2-8 units. For properties with less than 5 units, at least 1 unit must be commercial. 2-3 Units: Max 1 commercial unit 4-5 Units: Max 2 commercial units 6-8 Units: Max 3 commercial units - Commercial space must not exceed 49% of the total building area - Multiple buildings on one parcel are not permitted.
Rural Properties	Not permitted
Property Requirements	- Minimum 400 square feet per unit - Must be accessible for year-round residential use. - Contain a full kitchen and bath. - Represent the highest and best use of the property. - Not contain any health or safety issues
Property Condition	- No fair or poor ratings - No environmental issues (Storage or use of hazardous material, ex. Dry Cleaners, Laundromat) - No health or safety issues as noted by the appraiser (ex. Broken windows, stairs, etc.) - No excessive deferred maintenance that could become a health or safety issue for tenants. - No structural deferred maintenance (ex. Foundation, roof, electrical, plumbing)
Unleased Units	Refer to Underwriting Guidelines.
For Sale by Owner	Not permitted
Appraisals	<u>Residential 5-10 units:</u> - FHLMC 71A - FHLMC 71B for loan amounts < \$750K (Correspondent only) - Narrative report may be used but is not required. <u>Mixed Use 2-8 Units:</u> - FHLMC 71A - FHLMC 71B for loan amounts < \$750 (Correspondent only) - General Purpose Commercial Forms (ex. GP Commercial Summary Form) or Narrative report For loan amounts > \$2M, a second appraisal is not required if the 71A or Commercial Narrative report is provided. The following are required with each report: - Full Interior Inspection of each unit - Rent roll. - Income and Expense Statement - Photos of subject including exterior/interior and street scene - Aerial photo - Sketch or floor plan of typical units. - Map - Appraiser qualifications - BPO to be ordered on all transactions with the exception of those including two full appraisals.
Declining Markets	Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV, when >65% LTV.
Income Requirements	
Income	- Use lower of Estimated market rent or lease agreement on a refinance. - Purchases use the estimated market rent. - For leases that have converted to month-to-month, provide 2 months bank statements to support rental income. - Vacant unit(s) – See Guidelines. - Reduce qualifying rents by any management fee reflected on the appraisal report. 2-8 Mixed Use: Income from commercial space must not exceed 49% of the total property income. - Minimum DSCR >=1.00
Underwriting Requirements	
Credit Score	Middle of 3 scores or lower of 2 of all Borrowers
Tradelines	- All borrowers have 3 scores: or - Min: 2 open and reporting 24-months; or 3 open and reporting 12-months.
Reserves	- Loan Amt <= \$1.5M: 6 Months PITIA - Loan Amt > \$1.5M - \$2.0M: 9 months PITIA

	• Loan Amt > \$2.0M - \$2.5M: 12 Months PITIA • Loan Amt > \$2.5M - \$3.0M: 12 Months PITIA • Cash out may be used to meet reserve requirements
Gift Funds	• Allowed after min 10% borrower contribution. • Cannot be used to meet reserve requirements
Assets	• 30-day asset verification required
Subordinate Financing	• Not Permitted •
Escrow Waiver	• Not Permitted
Age of Documentation	• Credit - 120 days • Assets - 90 days
Prepayment Penalty	• Required where permitted. See the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal.
Interested Party Contributions	• ALL = 6%